

SMOKY MOUNTAIN CPAS · FREE SELF-CHECK

The Clean Books Grader

Ten questions. One score. The shape your books are really in. From the two CPAs at Smoky Mountain CPAs.

Every owner thinks their books are "mostly fine." This grader replaces mostly fine with a number out of ten. Open QuickBooks (or whatever you use), answer honestly, one point per yes. It takes ten minutes, and question 10 is the one that matters most.

— The ten questions

1 Is every business bank and credit card account connected and reconciled to the actual statement within the last 30 days?

Reconciled means matched to the bank's paper, not just "the feed is connected."

2 Are there fewer than 10 uncategorized or "Ask My Accountant" transactions sitting in the file?

A pile of uncategorized transactions means the reports are guesses.

3 Do deposits from Shopify, Square, Stripe, or your card reader get split into sales, fees, and sales tax, instead of landing as one lump?

One-lump deposits mean revenue, fees, and the state's money are all wrong at once.

4 Does sales tax you collect live in a liability account, not in income?

If collected tax is inside revenue, your books say you earned money you owe.

5 Are owner draws and personal spending fully separated from business expenses?

Personal coffee in the P&L means every margin number lies a little.

6 Do loan payments get split between principal and interest?

Booking the whole payment as an expense overstates costs and hides what you still owe.

7 If you sell products, do inventory and cost of goods sold get booked at least monthly?

A product business without monthly COGS has no idea what its margin is.

8 Do your P&L profit and your bank balance move in the same direction over time?

Months of paper profit while the bank account shrinks means something upstream is broken.

9 Are last month's reports closed and unchanged, so January does not quietly rewrite itself in June?

Books that keep moving after the month ends cannot be trusted for decisions.

10 Could you file your taxes today without apologizing for anything?

The honest tiebreaker. You already know your answer.

— Your score

- **9 or 10.** Clean. Your books can feed real decisions: pricing, hiring, and what you pay yourself. Keep the monthly rhythm that got you here.
- **6 to 8.** Wobbly. The reports are close enough to feel right and wrong enough to mislead. Pick the two questions you missed and fix those first. Usually it is number 3 and number 4.
- **5 or below.** The reports are fiction right now, and decisions made on them are guesses. The fix is not more effort inside a broken file. It is a cleanup, then a monthly routine that keeps it clean.

One more honest note: most owners grade themselves one or two points higher than their file deserves. The questions you hesitated on are noes.

Want the graded-by-CPAs version?

This is the self-check. The \$497 In-Depth Diagnostic Review is the professional version: two CPAs go inside your actual QuickBooks and grade all ten of these for real, in writing and on video, with the fix list in priority order. It is how most of our clients started, and it is credited toward your first month.

We are Brooks and Caroline, the two CPAs behind Smoky Mountain CPAs in Knoxville. We keep books clean for ecommerce sellers, boutiques, and contractors, and we prepare returns too, built on a file nobody has to apologize for.

Book a free 30 minute call: smokymtncpas.com/book/

Smoky Mountain CPAs

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